

The 5 Biggest Financial Mistakes People Make in Their 50s (and How to Fix Them)

Your 50s are what we like to call the *decision decade*. Retirement is close enough to start feeling real, but you still have time to make smart changes that can dramatically improve your future.

At our firm, we meet with many families who have done a great job saving—but they're unsure if their plan will truly support the life they want in retirement. The good news is that most financial mistakes in your 50s are very fixable with thoughtful planning and the right guidance.

Here are the five biggest mistakes we see—and how to fix them.

1. Not Knowing What Retirement Will Really Cost

Many people know how much they've saved, but they don't know what retirement will actually require. Healthcare costs, taxes, inflation, and longer life expectancies can change the picture dramatically.

How to Fix It:

Create a written retirement income plan that answers real-life questions:

- How much income will you need each month?
- When should you claim Social Security?
- How will taxes affect withdrawals?
- How long does your plan last under different market scenarios?

A clear plan replaces guesswork with confidence.

2. Not Maximizing Your Final Saving Years

Your 50s are often your highest earning years—but many people don't take full advantage of catch-up contributions or increasing their savings rate.

These final saving years matter more than most people realize.

How to Fix It:

- Maximize 401(k) contributions, including catch-up amounts
- Maximize IRA or Roth IRA contributions
- Increase savings when income rises or debts are paid off
- Review employer match opportunities

Even a few extra years of disciplined saving can make a meaningful difference.

3. Taking the Wrong Amount of Investment Risk

We often see two extremes in people's 50s: moving everything to cash out of fear, or staying overly aggressive without understanding the downside risk.

Both approaches can put retirement at risk.

How to Fix It:

Build a diversified portfolio aligned with your timeline and goals. That means considering:

- Years until retirement
- Expected income needs
- Your comfort level with market swings
- Protection against major downturns

A thoughtful strategy balances growth with stability so your plan stays on track.

4. Ignoring Long-Term Care and Insurance Planning

Healthcare and long-term care are among the largest unknowns in retirement. Without preparation, one unexpected event can disrupt decades of saving.

How to Fix It:

Review your protection plan to make sure it fits your situation:

- Long-term care planning options
- Life insurance for family protection or legacy planning
- Disability coverage if you're still working
- Emergency reserves for medical expenses

Protection planning is not separate from financial planning—it's a key part of it.

5. Not Updating Your Estate Plan

We often meet people who created a will years ago and never reviewed it again. Beneficiaries change, laws change, and family situations change.

How to Fix It:

Review your estate plan every few years and after major life events. Make sure to check:

- Beneficiary designations on retirement accounts
- Wills and trusts
- Powers of attorney
- Healthcare directives

A current estate plan gives your family clarity and peace of mind.

Why Your 50s Matter So Much

This decade is about moving from simply saving money to preparing for income, taxes, healthcare, and legacy planning. Small adjustments now can make retirement smoother, more secure, and more enjoyable later.

Our approach is simple: listen first, understand your goals, and build a personalized strategy that you can feel confident about. No one-size-fits-all solutions—just thoughtful planning built around your life.

Ready for a Retirement Readiness Review?

If you're in your 50s, now is the perfect time to review your financial plan and make sure everything is aligned with your goals. A conversation today can help you avoid costly mistakes tomorrow—and give you confidence about the road ahead.

We're here to help whenever you're ready.